THE UNITED REPUBLIC OF TANZANIA

PRESIDENT'S OFFICE

REGIONAL ADMINSTRATION AND LOCAL GOVERNMENT

KASULU TOWN COUNCIL

FORM TWO PRE-MOCK EXAMINATION

CODE: 061 **COMMERCE**

Time: 2:30 Hours **Tuesday, 27.05.2025**

INSTRUCTIONS

1. This paper consists of section A, B and C with a total of Ten (10) questions.

2. Answer all questions in the space provided

3. Section A and C carriers fifteen (15) marks each and section B carries seventy (70) marks.

4. All writing must be in blue or black ink, except drawing which must be in pencil

5. All communication devices, calculators and any unauthorized materials are not allowed in the examination room.

6. Write your examination number at the top right-hand corner of every page.

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SECTION A (15 MARKS)

Answer all questions in this section

1. For each of the following items (i)-(x), choose the correct answer from the given alternatives and write its letter in the box provided.

(i) In which category of industry do the process of converting cotton into clothes?

A. Manufacturing B. Constructive

C. Extractive D. Direct services

(ii) Warehouse owned by manufactures for the purpose of storing their goods are categorized under

A. General warehouse B. Public warehouse

C. Private warehouse D. Bonded warehouse

(iii) Given the daily sales= 20tins of NIDO, delivery time=5 days, minimum stock=100 Tins, then the order point is;

A. 200 tins B. 150 Tins C. 100 Tins D. 160 Tins

(iv) The process of initiating an idea of starting a business is known as;

A. Entrepreneurship B. Market research C. Business plan D. Business opportunity

(v) A petrol stations which sales petrol and diesel obtained from the same producer are example of;

A. Tied shops B. Departmental store C. Single shop D. Mobile shop

(vi) Supermarkets are different from other large scale retail business because of;

A. Selling one type of goods

B. Selling only to registered members

C. Self service

D. Extending credit facilities to consumer

(vii) Mr. Jovin is a farmer who own flower plantation in Tanga, gets tender to supply flower to Abby's decoration company in South Africa. Advise him which mode of transportation is the best for him?

A. Road transport B. Air transport C. Railway transport D. Water transport

(viii) Mama Bless from Kilimanjaro region is a trader who deals with buying beans in bulk from different regions in Tanzania and sells them in Kigoma. The type of trade conducted by Mama Bless is categorized as;

A. Retail trade. B. Home trade C. Foreign trade D. Import trade

(ix) .....is the gift of nature which provide site for production

A. Labour. B. Entrepreneurship C. Capital D. Land

(x) Kalebu is a trader who buys goods at Tshs.24,000/= and sells them at Tshs.30,000/=, what is mark-up percentage?

A. 20% B. 25.5% C. 25% D.8%

2. Match the item in list A with the correct response in list B by writing the letter of the correct response below the corresponding item number provided in the table below.

LIST A	**LIST B**
i) A path through which a unit of carriage move on ii) A driving force or source of power that makes unit of carriage to move iii) Vessels which facilitate the carriage of goods from one place to another iv) The place where goods are loaded or unloaded v) Movement of goods and people from one place to another	A. Unit of carriage B. Transportation C. The way D. Method of propulsion E. The terminal F. The airport G. Railway.

ANSWER

SECTION B (70 MARKS)

Answer all questions in this section

3. Differentiate the following concepts

(a) Demand and supply

(b) Demand curve and supply curve

(c) Change in supply and change in quantity supplied

(d) Joint demand and joint supply

(e) The law of demand and the law of supply

4. The following information was provided by Kimboka trader for the year ended 31. 12. 2020

Opening stock Tshs. 20,000/=

Closing stock Tshs. 60,000/=

Rate of stock turn. 6 times

Expenses 25% of gross profit

Margin 25%

By using the information given above, calculate the following and show clearly all the workings

(a) Average stock

(b) Cost of goods sold

(c) Gross profit

(d) Sales

(e) Net profit

5. Assume your name have been shortlisted for an interview to work with Marenga investment Company, how would you explain the following entrepreneurship concepts to the interview panelist

(a) Entrepreneurship

(b) Self employment

(c) Entrepreneurship skills

(d) Motivation

(e) Goods

6. Madam Marietha is engaged in production of snacks and juice for sale

(a) Identify the type of production she is involved and give the reason for your answer

(b) Mention three advantages of production you have identified in part (a)

7. Explain five factors for change in demand of a commodity in a market

8. Describe five functions of an entrepreneur

9. Describe the term channel of distribution and a diagram to show the middlemen involved in the channel of distribution of manufactured goods.

SECTION C (15 MARKS)

Answer question ten (10)

10. Suppose your commerce teacher had assigned you to prepare the class presentation about the justifiable qualities of a successful retailer. Briefly explain five justifiable qualities of a successful retailer that you will consider in your presentation.